SECURITIES AND EXCHANGE COMMISSION

17 CFR Parts 200, 230, 239, 240, 270, and 274

[Release Nos. 33-10814; 34-89478; IC-33963; File No. S7-09-20]

RIN 3235-AM52

Tailored Shareholder Reports, Treatment of Annual Prospectus Updates for Existing Investors, and Improved Fee and Risk Disclosure for Mutual Funds and Exchange-Traded Funds; Fee Information in Investment Company Advertisements

AGENCY: Securities and Exchange Commission.

ACTION: Proposed rule.

SUMMARY: The Securities and Exchange Commission ("Commission") is proposing rule and form amendments that would modernize the disclosure framework for open-end management investment companies. The disclosure framework would feature concise and visually engaging shareholder reports that would highlight key information that is particularly important for retail investors to assess and monitor their fund investments. Certain information that may be less relevant to retail investors—and of more interest to financial professionals and investors who desire more in-depth information—would no longer appear in funds' shareholder reports but would be available online, delivered free of charge upon request, and filed on a semi-annual basis on Form N-CSR. Funds' shareholder reports would serve as the central source of fund disclosure for existing shareholders. Thus, instead of delivering prospectus updates to existing shareholders each year, open-end funds would have an alternative way to keep shareholders informed. This framework would rely on the shareholder report (which would include a summary of material fund changes), along with

timely notifications to shareholders about material fund changes as they occur and continued availability of the fund's prospectus. The Commission is also proposing amendments to open-end fund prospectus disclosure requirements to provide greater clarity and more consistent information about fees, expenses, and principal risks. Finally, the Commission is proposing amendments to the advertising rules for registered investment companies and business development companies to promote more transparent and balanced statements about investment costs.

DATES: Comments should be received by [insert date 60 days after publication in the *Federal Register*].

ADDRESSES: Comments may be submitted by any of the following methods:

Electronic comments:

- Use the Commission's internet comment form (https://www.sec.gov/rules/submitcomments.htm); or
- Send an email to *rule-comments@sec.gov*. Please include File No. S7-09-20 on the subject line.

Paper comments:

- Send paper comments to Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

All submissions should refer to File Number S7-09-20. This file number should be included on the subject line if email is used. To help the Commission process and review your comments more efficiently, please use only one method. The Commission will post all comments on the Commission's website (http://www.sec.gov/rules/proposed.shtml). Comments are also available for website viewing and printing in the Commission's Public

Reference Room, 100 F Street NE, Room 1580, Washington, DC 20549, on official business days between the hours of 10 a.m. and 3 p.m. All comments received will be posted without change. Persons submitting comments are cautioned that we do not redact or edit personal identifying information from comment submissions. You should submit only information you wish to make available publicly. Persons wishing to provide comments regarding the proposal may wish to submit our Investor Feedback Flier or Smaller Fund Feedback Flier, available at Appendices B and C, respectively.

Studies, memoranda, or other substantive items may be added by the Commission or staff to the comment file during this rulemaking. A notification of the inclusion in the comment file of any such materials will be made available on the Commission's website. To ensure direct electronic receipt of such notifications, sign up through the "Stay Connected" option at www.sec.gov to receive notifications by email.

FOR FURTHER INFORMATION CONTACT: Zeena Abdul-Rahman, Daniel K. Chang, Mykaila DeLesDernier, Pamela K. Ellis, Angela Mokodean, Senior Counsels; Amanda Hollander Wagner, Branch Chief; or Brian McLaughlin Johnson, Assistant Director, at (202) 551-6792, Investment Company Regulation Office; Daniel Rooney, Assistant Chief Accountant; Keith Carpenter or Michael Kosoff, Senior Special Counsels, at (202) 551-6921, Disclosure Review and Accounting Office; Division of Investment Management; U.S. Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090.

SUPPLEMENTARY INFORMATION: The Commission is proposing new rule 498B [proposed rule 17 CFR 230.498B] under the Securities Act of 1933 ("Securities Act").[1] We also are proposing amendments to the following rules and forms:

Commission Reference		CFR Citation [17 CFR]
Organization; Conduct and Ethics; And Information and Requests		§§ 200.1 through 200.800
	Section 800	§ 200.800
Securities Act	Rule 156	§ 230.156
	Rule 433	§ 230.433
	Rule 482	§ 230.482
	Rule 498	§ 230.498
	Form N-14	§ 239.23
Securities Act and Investment Company Act of 1940 ("Investment Company Act")[2]	Form N-1A	§§ 239.15A and 274.11A
Securities Exchange Act of 1934 ("Exchange Act")[3]	Schedule 14A	§ 240.14a-101
Exchange Act and Investment Company Act	Form N-CSR	§§ 249.331 and 274.128
Investment Company Act	Rule 30e-1	§ 270.30e-1
	Rule 30e-3	§ 270.30e-3
	Rule 31a-2	§ 270.31a-2
	Rule 34b-1	§ 270.34b-1

[1] 15 U.S.C. 77a *et seq*.

[2] 15 U.S.C. 80a *et seq*.

[3] 15 U.S.C. 78a *et seq*.

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I. INTRODUCTION AND BACKGROUND

The Commission is proposing to tailor the disclosures that mutual funds and exchange-traded funds ("ETFs" and, collectively with mutual funds, "funds") must provide to investors to highlight key information investors need to assess and monitor their fund investments and make informed investment decisions.[4] Currently, most mutual funds and ETFs rely on a layered disclosure framework with respect to the prospectus information they provide to fund investors in order to tailor this disclosure to investors' informational needs.[5] The vast majority of funds provide: (1) a summary prospectus to investors in connection with their initial investment decision; and (2) more-detailed information that may be of interest to some investors, which is available online in the form of the "statutory prospectus" and Statement of Additional Information ("SAI").[6] However, this approach to layered, tailored

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[4] For purposes of this release, the term "fund" generally refers to an open-end management investment company registered on Form N-1A or a series thereof, unless otherwise specified. Mutual funds and most ETFs are open-end management investment companies registered on Form N-1A. An open-end management investment company is an investment company, other than a unit investment trust or face-amount certificate company, that offers for sale or has outstanding any redeemable security of which it is the issuer. *See* sections 4 and 5(a)(1) of the Investment Company Act [15 U.S.C. 80a-4 and 80a-5(a)(1)].

[5] Throughout this release, we generally use the term "investor" to refer to both prospective investors in a fund and fund shareholders (*i.e.*, persons who hold an investment in securities issued by a fund). We generally use the term "shareholder" to refer specifically to those who hold an investment in securities issued by a fund.

[6] *See* section 5(b)(2) of the Securities Act [15 U.S.C. 77e(b)(2)] (generally requiring that a fund or financial intermediary deliver a prospectus to an investor in connection with his or her purchase of the fund's securities). Funds generally amend their prospectuses annually to reflect changes to the disclosed information.

A fund's prospectus generally must include information contained in the fund's registration statement. *See* section 10(a) of the Securities Act [15 U.S.C. 77j(a)]. For purposes of this release, a prospectus meeting the requirements of a section 10(a) prospectus is referred to as a "statutory prospectus." Form N-1A requires a fund to disclose the information that Items 2 through 8 of Form N-1A require in numerical order at the front of the prospectus. *See* General Instruction C.3.a to Form N-1A. For purposes of this release, we refer to this front section of

disclosure does not extend to other disclosure funds provide to their shareholders. After making their initial decision to invest in a fund, fund shareholders typically receive an updated prospectus annually, as well as annual and semi-annual shareholder reports (or "annual reports" and "semi-annual reports" respectively, and collectively "shareholder reports").[7] These shareholder reports provide detailed information about a fund's operations and activities during the last full- or half-year period and can be quite lengthy. For example, it is not unusual for annual reports to exceed 100 pages in length.

In June 2018, the Commission issued a request for comment seeking feedback on retail investors' experience with fund disclosure and on ways to improve fund disclosure.[8] We have considered feedback the Commission received in response to this request for comment, which generally showed that retail investors prefer concise, layered disclosure and feel overwhelmed by the volume of fund information they currently receive. We have also

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the statutory prospectus as the "summary section of the statutory prospectus."

A fund may use a summary prospectus (which includes the information required or permitted by Items 2 through 8 of Form N-1A) to satisfy prospectus delivery obligations under certain conditions (*e.g.*, the statutory prospectus is posted online). *See* rule 498 under the Securities Act [17 CFR 230.498]. For purposes of this release, a summary prospectus that a fund uses to satisfy its prospectus delivery obligations, as rule 498 permits, is referred to as a "summary prospectus."

7 *See* section 30(e) of the Investment Company Act [15 U.S.C. 80a-29(e)]; rule 30e-1 under the Investment Company Act [17 CFR 270.30e-1]. Shareholders in a fund typically receive an annual update of the fund's prospectus to satisfy prospectus delivery requirements for any additional shares of the fund the shareholder may purchase. *See infra* discussion accompanying and following footnote 11. In addition to the annual prospectus update, a shareholder also may receive prospectus supplements, or "stickers," during the year if material or other changes occur to the fund. *See infra* footnote 13 and accompanying text.

8 *See* Request for Comment on Fund Retail Investor Experience and Disclosure, Investment Company Act Release No. 33113 (June 5, 2018) [83 FR 26891 (June 11, 2018)] ("Fund Investor Experience RFC").

considered prior investor testing and surveys, past fund disclosure reform initiatives, and developments affecting fund disclosure practices.[9]

After considering this information, we are proposing a layered disclosure framework for fund shareholders that would highlight key information for assessing and monitoring a fund investment and informing investment decisions (*e.g.*, whether to buy additional shares, continue to hold, or sell a fund investment), with additional information available online and upon request. The proposal would implement this new framework principally by amending the requirements for funds' annual and semi-annual reports to highlight information that we believe is particularly important for retail shareholders to assess and monitor their ongoing fund investments. These tailored shareholder reports would serve as the primary fund disclosure that existing shareholders receive each year, in addition to notices of certain material changes if they occur during the year.

The proposal is designed to alleviate concerns that fund retail shareholders currently may receive disclosure materials that are not well-suited to their needs, which may contribute to investor confusion or indifference. Current disclosures, for example, may include information that is less useful for most retail shareholders to assess and monitor their fund investments, either because the information is primarily designed to inform an initial purchase decision, or because the information is of interest to only some investors (for example, those investors who want detailed fund information), as well as financial professionals and market analysts. Furthermore, current fund disclosures in some cases are delivered close in time to one another and include similar sets of information that may appear redundant or inconsistent

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[9] *See, e.g.*, *infra* Sections I.B and I.C.